

1.

Explain how the data in **Extract D (Figures 1 and 2)** show that consumer confidence may have risen since 2014.

[4 marks]

2.

The information below shows the changes in key economic indicators for a country over a period of one year.

Money GDP	Rate of inflation	Population increase	Gini coefficient
+6%	+4%	+1%	−8%

Which one of the following can be concluded from the data?

- A** External costs generated from economic activity have reduced the quality of life
- B** Real GDP per capita has fallen
- C** The distribution of income has become more unequal
- D** The standard of living of typical residents in the country has probably improved

☐☐☐☐

[1 mark]

3.

The table below shows details for a weighted price index which contains only two products, X and Y.

Product	Year 1 price (£)	Year 2 price (£)	Weight
X	10	12	2
Y	20	18	1

If Year 1 is the base year, what is the value of the weighted index in Year 2?

- A** 100
- B** 105
- C** 110
- D** 120

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[1 mark]

4.

Explain why the data in **Extract A (Figure 1)** show that living standards in India have improved.

[4 marks]

5.

INVESTIGATION

Scenario

You are an economist working for the Ministry of Housing, Communities and Local Government (MHCLG).

You have been asked to investigate the state of the UK housing market.

As part of this investigation, you are to provide answers to three questions.

Referring to the **Extracts A, B, C and D**, use them and your knowledge of economics to help you answer this question.

To what extent, if at all, do the data suggest that houses in the UK were more affordable in 2017 than they were in 2007? You must use the data in **Extract C** to support your assessment.

[10 marks]

